

Corporation [NBC], etc.) provided by GE.

Here is a company that has done everything right—made sensible acquisitions; cut costs; developed successful new products; rid itself of bumbling subsidiaries; avoided getting suckered into the computer business (after selling its mistake to Honeywell)—and still the stock inches along. That's not GE's fault. The stock can't help but inch along since it's attached to such a huge enterprise.

GE has 900 million shares outstanding, and a total market value of \$39 billion. The annual profit, more than \$3 billion, is enough to qualify as a Fortune 500 company on its own. There is simply no way that GE could accelerate its growth very much without taking over the world. And since fast growth propels stock prices, it's no surprise that GE moves slowly as La Quinta soars.

Everything else being equal, you'll do better with the smaller companies. In the last decade you'd have made more money on Pic 'N' Save than on Sears, although both are retail chains. Now that Waste Management is a multibillion-dollar conglomerate, it will probably lag behind the speedy new entries in the waste-removal field. In the recent comeback of the steel industry, shareholders in the smaller Nucor have fared better than shareholders in U.S. Steel (now USX). In the earlier comeback of the drug industry, the smaller SmithKline Beckman outperformed the larger American Home Products.

THE SIX CATEGORIES

Once I've established the size of the company relative to others in a particular industry, next I place it into one of six general categories: slow growers, stalwarts, fast growers, cyclicals, asset plays, and turnarounds. There are almost as many ways to classify stocks as there are stockbrokers—but I've found that these six categories cover all of the useful distinctions that any investor has to make.

Countries have a growth rate (the GNP), industries have a growth rate, and so does an individual company. Whatever the entity, "growth" means that it does more of whatever it does this year (make cars, shine shoes, sell hamburgers) than it did last year. President Eisenhower once said that "things are more like they are now than they ever were before." That's a pretty good definition of economic growth.

Keeping track of the growth rates of industry is an industry in itself. There are endless charts, tables, and comparisons. With individual companies it's a little trickier, since growth can be measured in various ways: growth in sales, growth in profits, growth in earnings, etc. But when you hear about a "growth company," you can assume that it's expanding. There are more sales, more production, and more profits in each successive year.